

ECONOMY

BIDING TIME

The *BT-C Fore Business Confidence Survey* reveals that businesses remained optimistic about economic prospects in Q1FY25. But they appear to be waiting for external cues as capacity expansion plans and hiring sentiment remain muted

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► **DESPITE THE GLOBAL** headwinds, the Indian economy seems to be in a sweet spot for now. Gross domestic product (GDP) growth is widely seen at over 7% for FY25. There are hopes of a revival in rural consumption demand due to a good monsoon. Inflation is on a downward trajectory and high-frequency indicators such as collections from the goods and services tax and industrial production are showing positive trends.

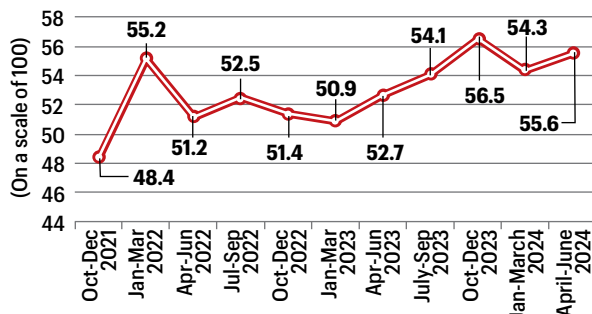
This is also evident in the *Business Today-C Fore Business Confidence Survey* of 500 chief executive officers (CEOs) and chief financial officers (CFOs) for the April-June 2024 quarter (Q1FY25). The Business Confidence Index (BCI) rose to 55.6 in Q1FY25, after dipping in the previous quarter (Q4FY24) to 54.3. The reading for Q1FY25 was also the second highest since Q1FY16. The BCI in Q3FY24 (October-December 2023 quarter) was a notch higher at 56.5.

However, despite the headline confidence, India Inc. still harbours some concerns as seen in the hiring sentiment and plans for capacity expansion. Experts believe that a part of it stems from the cloudy global outlook—the continuing conflicts in different parts of the world, the latest being the instability in Bangladesh, and more importantly, the upcoming US elections.

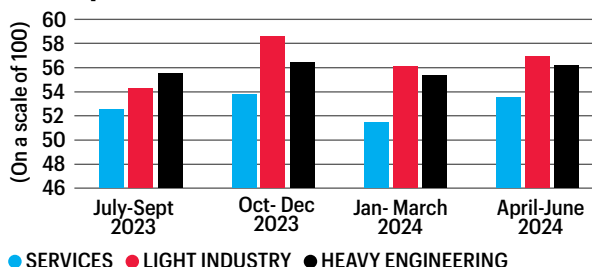
“There remain certain headwinds. While it is unlikely that the rate hike by Japan will have a significant impact, the continued trouble in the Middle East

The Mood Improves

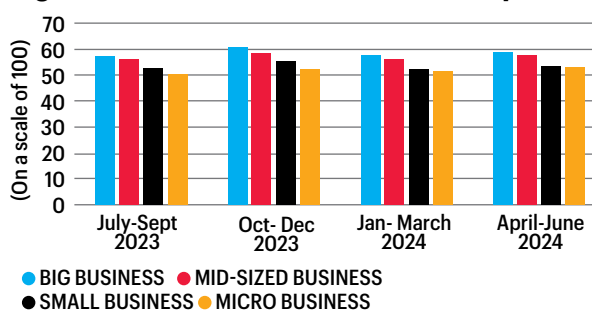
BCI rose to 55.6 in the April-June 2024 quarter



BCI improves across sectors



Big-, medium-sized businesses remain upbeat



Hiring outlook dips further for Q2

